

HERE'S A SKETCH OF A SIMPLE MAN'S PROFILE. SON OF A SMALL BUSINESSMAN IN KOLKATA. BROUGHT UP OBSERVING HIS FATHER OPERATING IN THE DUSTY, CROWDED WHOLESALE MARKET OF DAWA BAZAR.

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HIS FATHER RAN a small, wholesale medicine shop, where our protagonist, as a child, would read the drug labels and wonder how they were made. What path would such a profile take in life? For any ordinary man, it would mean continuing to run the father's wholesale medicine shop, and living a contented, financially stable yet unremarkable life. But Dilip Shanghvi, 67, is no ordinary man. The child poring through medicine labels decided one fine day to make medicines himself, and became successful, way beyond probably what he himself would have imagined. Sometime in March 2015, Shanghvi, the Founder and Managing Director of India's biggest pharma company, Sun Pharmaceutical Industries Limited, became India's richest man for a brief period, besting Reliance Industries' promoter Mukesh Ambani. He stayed at No. 2 for fairly long, and even today is among the country's 10 richest men.

It is not an appellation he likes to flaunt on his shirt. In fact, quite the opposite. He is distinctly uncomfortable with any reference to his riches, remains intensely work-focussed and introverted, shuns public appearances including press conferences and parties, has a hard time smiling for the cameras, and has a mundane office in a non-fancy location in Mumbai's Goregaon. If his stature has taken anything away, an anecdote from his biography, *The Reluctant Billionaire*, narrates how his fame ensures he's no longer able to visit a small south Indian restaurant to partake his favourite *idli*; his friends now deliver the dish to him at home.

And what does such a man do when faced with circumstances that threaten the growth of the business he so fastidiously built? He fights. In his own, low-profile, yet stubborn and determined fashion.

Founded in 1983, Sun Pharma saw some of its toughest times between 2014 and 2018. Intense pricing pres-

sure in the US market, where it is one of the largest generics drug players, hit the company hard. Sun Pharma also encountered FDA-related issues such as warning letters, quality control and manufacturing deficiencies, and product recalls in the US. The challenges impacted its operations, market reputation, and its growth and expansion plans as well. And on the home front, its acquisition of Ranbaxy Laboratories in 2014, which made Sun Pharma India's biggest pharma company in 2015—as well as increased investments into a new business segment—hit the company's growth. In FY18, its profits plunged 70 per cent year-on-year to ₹2,096 crore, largely due to regulatory issues, pricing pressure and increase in R&D spends.

Had Shanghvi bitten off more than he could chew? Well, if anything, the challenges seem to have brought out the best in him. In FY23, Sun Pharma recorded its highest-ever consolidated revenue of ₹43,279 crore and net profit of ₹8,474 crore. Leading the way was Shanghvi's renewed strategy of boosting the specialty drugs business (typically used to treat complex, chronic, or rare medical conditions), which grew 29 per cent in US dollar terms in FY23. In addition, he muscled up the company's business in the Indian market, made investments in R&D, and focussed on boosting competencies through M&As.

Sounds logical? Sounds like Shanghvi—simple, straightforward, yet impactful.

THE GAME PLAN

Sun Pharma made upfront investments in the specialty segment, and focussed on targeting product segments with higher growth potential. "We initially identified dermatology, ophthalmology and onco-dermatology as areas where we wanted to focus, partly because we see a good future for them and at the same point of time, these are businesses in which really large companies are not very